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Case Number: 25LBCV01344 Hearing Date: August 3, 2026 Dept: S25

Motion: Defendant American Honda Motor Company, Inc.'s Motion for Summary Adjudication

Moving Party: Defendant American Honda Motor Company ("Defendant")

Responding Party: Plaintiff Bernardo Gonzalez Valentim ("Plaintiff")

Tentative Ruling

Fifth Cause of Action – Fraudulent Inducement- Concealment

This Court concludes this cause of action is barred by the economic loss rule. Traditionally, the economic loss rule barred tort recovery for purely economic losses arising from a breach of contract absent a showing of personal injury or property damage. (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.Rptr.2d 834.) "[T]he economic loss rule provides: Where a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only 'economic losses.' The economic loss rule requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise. Quite simply, the economic loss rule 'prevents the law of contract and the law of tort from dissolving one into the other.'" (Food Safety Net Services v. Eco Safe Systems USA, Inc. (2012) 209 Cal.App.4th 1118, 1130 [citing Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988].) In Dhital, which was a Song-Beverly action, the Court of Appeal addressed the economic loss rule in the specific context of fraudulent inducement by concealment. (Dhital v. Nissan N. Am., Inc. (2022) 84 Cal. App. 5th 828, 840.) The Court held concealment-based claims for fraudulent inducement are not barred by the economic loss rule "because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to." (Id. at p. 841.)

But more recently, the Supreme Court offered further guidance on the economic loss rule. In Rattagan v. Uber Techs., Inc., the issue was whether a Plaintiff could "assert an independent claim of fraudulent concealment in the performance of a contract?" (Rattagan v. Uber Technologies, Inc. (2024) 324 Cal.Rptr.3d 433.) The Court held that a plaintiff may only assert a separate claim of fraudulent concealment based on conduct occurring in the course of a contractual relationship "if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract." (Id. at p. 466.)

No opposition has been received.

The Court finds that this “tort,” if any, certainly occurred during the “course of the contract” as the elements of this claim cannot be established independently of the parties’ contractual rights and obligations. Thus, the Supreme Court’s opinion in Rattagan controls. The Court declines to rule on the remaining arguments concerning the fraud cause of action, as doing so is not necessary to a resolution of the merits of the motion for summary adjudication.

Prayer for Punitive Damages

Because the economic loss rule applies, the prayer for punitive damages fails. Alternatively, because fraudulent inducement – concealment cause of action fails, the prayer for punitive damages claim also fails.

Defendant American Honda Motor Company, Inc.’s Motion for Summary Adjudication is GRANTED as to the fifth cause of action and the prayer for punitive damages.